

SOP-001: Financial Terms and Payment Structure Review

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Owner: Example Corp — Legal & Finance

Classification: Internal Use Only

1. PURPOSE

This SOP establishes the mandatory review criteria for all financial terms, payment schedules, and cost-related provisions in contracts submitted by partners. The contract review agent must flag any deviations from these standards as findings.

2. PAYMENT SCHEDULE REQUIREMENTS

2.1 Milestone-Based Payments (Mandatory)

All contracts exceeding \$100,000 must use milestone-based payment structures. The following rules apply:

- **Maximum upfront payment:** 20% of total contract value
- **Progress payments:** Tied to verified deliverable completion
- **Final payment holdback:** Minimum 15% retained until final acceptance
- Payments triggered only upon written deliverable acceptance by Example Corp project manager

2.2 Prohibited Payment Structures

The following payment structures are automatically rejected: - More than 30% upfront before work commences - Lump-sum payments without milestone ties - Payment upon contract signing exceeding 20% - Payments not tied to acceptance criteria

3. LATE PAYMENT AND INTEREST PROVISIONS

3.1 Acceptable Late Fee Terms

- Maximum late payment interest: **5% per annum** (simple interest)
- Grace period required: Minimum **30 calendar days** before interest accrues
- Compounding interest is **never acceptable**

3.2 Red Flag Indicators

Flag the following as HIGH severity: - Interest rates exceeding 5% per annum - No grace period defined - Compound interest clauses - Acceleration clauses on late payments - Interest on disputed amounts

4. EXPENSE PROVISIONS

4.1 Expense Authorization Requirements

- All expenses exceeding **\$5,000** require prior written approval
- Monthly expense reports required for ongoing engagements
- Travel expenses must follow Example Corp's published travel policy
- No blanket pre-approval of expense categories

4.2 Expense Caps

- If no expense cap is defined, flag as MEDIUM severity
 - Expense caps exceeding 10% of contract value require VP-level approval
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5. CONTRACT VALUE THRESHOLDS AND APPROVALS

Contract Value	Required Approvals
Under \$50,000	Department Manager
\$50,000 – \$250,000	Director + Legal Review
\$250,000 – \$1,000,000	VP + Legal + Finance
Over \$1,000,000	C-Suite + Board Notification

6. REVIEW FINDINGS SEVERITY CLASSIFICATION

- **CRITICAL:** Payment terms that expose Example Corp to loss exceeding 30% of contract value
 - **HIGH:** Payment structures violating mandatory requirements in Section 2
 - **MEDIUM:** Terms outside preferred ranges but within negotiable boundaries
 - **LOW:** Minor formatting or clarity issues in financial sections
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7. AGENT REVIEW INSTRUCTIONS

When reviewing a contract's financial terms, the agent must: 1. Extract the total contract value 2. Calculate the upfront payment percentage 3. Verify milestone-based structure exists 4. Check interest rate and grace period 5. Validate expense authorization thresholds 6. Map contract value to required approval tier 7. Generate findings with severity, clause reference, and recommended correction